



MPONGWE TOWN COUNCIL



ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2024 which discloses the sources, utilization and cash balances for Mpongwe Town Council during the period under review.

Background and Location of the Council

The Council is located in Mpongwe District in Copperbelt Province of Zambia. Mpongwe District covers an area of 8,376 Square Kilometres (Km²). The District is approximately 65 Kilometres (Km) from Luanshya Town and 90 Kilometres (Km) from Kapiri Mposhi, The District shares boarders with Masaiti, Lufwanyama, Ngabwe, Kapiri Mposhi and Kasempa.

The Census of Population undertaken by the Central Statistics Office in 2010 revealed that the District had a population of 93,380 people.

Mpongwe District is known to be the bread basket of the Copperbelt due to its ability to provide investments which may include: agricultural crop production, agricultural and livestock processing, livestock production and Commerce and Trade.

The District has six (6) Chiefdoms namely: Malembeka, Kalunkumya, Mwinuna, Ndubeni, Machiya and Lesa.

The address of the registered office of Mpongwe Town Council (MTC) is as follows:

The Civic Centre

Machiya Road

P O Box 50

Mpongwe

REPORT OF THE COUNCIL

Composition of the Council

Mpongwe Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No. 2 of 2019. As a Local Authority, the Town Council administers the Mpongwe District.

The Council is composed of an elected Council Chairperson, thirteen (13) elected Councillors from Thirteen (13) Wards, and three (3) Chiefs as provided for under Article 153 of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Deputy Council Chairperson was elected from among the Councillors in 2023 to serve for a period of two and half years.

The Councillors who held office up to 31-12-2024 were:

S/N	NAME	GENDER	POSITION	WARD
1	Emmanuel Masanga	Male	Chairperson	Not applicable
2	Jesper Ngwejie	Male	Deputy Chairperson	Kashiba
3	Chrispin Tembo	Male	Councillor	Mikata
4	Isaac Hachuumpa	Male	Councillor	Kalweo
5	Taxon Mubili jnr	Male	Councillor	Musofu
6	Molo Crescious	Male	Councillor	Ipumbu
7	Tembo Harriet	Male	Councillor	Luswishi
8	Mathew Banda	Male	Councillor	Kasonga
9	Shakapanga Humphrey	Male	Councillor	Mukumpu
10	Shaingisha Norman	Male	Councillor	Mpongwe Central
11	Mwansa Percy	Male	Councillor	Nampamba
12	Moyo owen	Male	Councillor	Kanyenda
13	Mukwemba Brevan	Male	Councillor	Kasamba
14	Derrick Musukuma	Male	Councillor	Ibenga
15	Rhodah Mwanza	Female	Chief Representative	Not applicable
16	Musonda Margret	Female	Chief Representative	Not applicable
17	Malisopo Eston	Male	Chief Representative	Not applicable

The district also had One (1) elected member of parliament for Mpongwe Central constituency.

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Gregory Ngowani	Male	Mpongwe

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year 2024 Mr. Burton Mukomba was the District Commissioner for Mpongwe District.

The Council Secretariat

The Secretariat of Mpongwe Town Council is headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

REPORT OF THE COUNCIL

The Council Secretary is assisted by four (4) Heads of Departments responsible for Finance, Planning, Works and Administration, and two (2) Heads of Units Namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2024	2023
	Kwacha	Kwacha
Cash Receipts	61,710,808	46,269,028
Payments	70,408,354	44,783,616
Increase/(Decrease) in Cash and Cash Equivalents	- 8,697,545	1,485,412

Key Policies Adopted During the Year

The Council did not adopt any policies during the year 2024.

Related Party Transaction

There were no related party transactions during the financial year.

Property, Plant and Equipment

Property, Plant and Equipment amounting to K30,359,117 were purchased during the year.

Intangible Assets

The Council purchased intangible assets in the amounts of K8,565.00 during the year under review.

Employees

The number of employees at the beginning of the year was 138 and at the end of the year was 156 and the total amount spent on employees' remuneration and welfare during the year was K13,218,930.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

MPONGWE TOWN COUNCIL
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

REPORT OF THE COUNCIL

Recreation

The Council during the financial year did not incur any cost towards sporting activities.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Sign

Name

Position: Council Chairperson

Date



MPONGWE TOWN COUNCIL
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Mpongwe Town Council is responsible for preparing the financial statements for the year ended 31st December 2024 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 7 to 10.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- For the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Mpongwe Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December 2024.

Signed on behalf of the Council onby:

Name: MARISA EMMAUEL

Name: MARY M. LARUKU

Signature: [Signature]

Signature: [Signature]

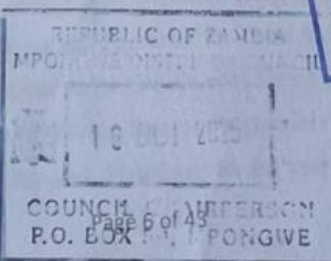
Position: Council Chairperson

Position: Council Secretary

Name: EDWIN CHINDONGO

Signature: [Signature]

Position: Director Finance



**INDEPENDENT AUDITOR'S REPORT STATEMENT OF CASH RECEIPTS AND
PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2024**

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Local Taxes	2	319,792	625,370
Fees and Charges	3	6,594,238	4,792,041
Licences	4	59,991	39,928
Levies	5	3,735,670	1,704,802
Permits	6	322,821	379,729
Local Government Equalisation Fund	7	10,321,794	9,654,720
Constituency Development Fund	8	22,775,159	27,261,470
Other Grants	9	3,294,737	1,100,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Sector Grant	12	13,522,357	710,968
Other Receipts	13	764,251	-
TOTAL RECEIPTS		61,710,808	46,269,028
PAYMENTS			
Personal Emoluments	14	13,218,930	9,464,801
Use of Goods and Services	15	10,592,329	4,844,469
Financial Charges	16	-	-
Social Benefits	17	9,293,746	10,155,534
Non-financial Assets Acquisition	18	30,359,117	12,026,101
Financial Assets	19	2,642,463	5,428,693
Loan Repayments	20	-	-
Other Payments	21	4,301,769	2,864,018
TOTAL PAYMENTS		70,408,354	44,783,616
Increase/(Decrease) in Cash		(8,697,545)	1,485,412
Foreign Exchange Losses	22	-	-
Cash at beginning of the year	23	24,185,701	22,700,289
Cash at the end of the year	24	15,488,156	24,185,701

Name:
Signature:
Position: Council Chairperson

Name:
Signature:
Position: Council Secretary

Name:
Signature:
Position: Director Finance

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR
THE YEAR ENDED 31ST DECEMBER 2024**

	Original Budget	Adjustments	Final Budget	Actual Amounts	% Performance	Variance	% Variance
	Kwacha	Kwacha	Kwacha	Kwacha		Kwacha	
RECEIPTS							
Local Taxes	843,668	-	843,668	319,792	38%	(523,876)	-62%
Fees and Charges	1,885,278	-	1,885,278	6,594,238	350%	4,708,960	250%
Licences	39,138	-	39,138	59,991	153%	20,853	53%
Levies	3,192,814	-	3,192,814	3,735,670	117%	542,856	17%
Permits	344,429	-	344,429	322,821	94%	(21,608)	-6%
Local Government Equalisation	10,523,340	-	10,523,340	10,321,794	98%	(201,546)	-2%
Constituency Development Fund	30,635,642	-	30,635,642	22,775,159	74%	(7,860,483)	-26%
Other Grants	5,262,990	-	5,262,990	3,294,737	63%	(1,968,253)	-37%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	-	-	-	-	0%	-	0%
Sector Grants	20,891,119	-	20,891,119	13,522,357		(7,368,762)	
Other Receipts	2,225,872	-	2,225,872	764,251	34%	(1,461,621)	-66%
TOTAL RECEIPTS	75,844,290	-	75,844,290	61,710,808	81%	14,133,482	19%
PAYMENTS							
Personal Emoluments	15,027,792	-	15,027,792	13,218,930	88%	1,808,862	12%
Use of Goods and Services	22,692,375	-	22,692,375	10,592,329	47%	12,100,046	53%
Financial Charges	-	-	-	-	0%	-	0%
Social benefits	8,149,081	-	8,149,081	9,293,746	114%	(1,144,665)	-14%
Non-financial assets acquisition	16,589,200	-	16,589,200	30,359,117	183%	(13,769,917)	-83%
Financial Assets	3,492,463	-	3,492,463	2,642,463	76%	850,000	24%
Loan Repayments	-	-	-	-	0%	-	0%
Other Payments	9,893,379	-	9,893,379	4,301,769	43%	5,591,610	57%
TOTAL PAYMENTS	75,844,290	-	75,844,290	70,408,354		5,435,936	7%
Increase/(Decrease in Cash	-	-	-	(8,697,545)		8,697,545	

The composition of budget adjustments and explanations of major variances are provided in note 23

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL
GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST
DECEMBER 2024**

	2024	2023
	Kwacha	Kwacha
RECEIPTS		
Funding 7(a)	10,321,794	9,654,720
Other funding	-	-
TOTAL RECEIPTS	10,321,794	9,654,720
PAYMENTS		
Operation: 7(b)		
Salaries and Wages	10,321,794	7,723,776
Terminal Benefits	-	-
Utility Bills	-	-
Service Provision	-	-
Goods and Services	-	-
Administrative Costs	-	-
Other Costs	-	-
Sub-Total	10,321,794	7,723,776
Capital Ex] 7(c)	-	-
Infrastructure Development	-	662,920
Rehabilitation Works	-	66,680
Asset Acquisition	-	1,787,130
Other Costs	-	835,894
Sub-Total	-	3,352,624
TOTAL PAYMENTS	10,321,794	11,076,400
Increase/(decrease) in cash	-	- 1,421,680
Cash at beginning of the year	7,073	1,428,753

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE
CONSTITUENCY DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST
DECEMBER 2024**

		2024	2023
		Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	22,775,159	27,261,470
Loan Repayments	8(b)	-	271,018
Other Receipts	8(c)	66,436	622,246
TOTAL RECEIPTS		22,841,595	28,154,734
PAYMENTS			
		-	
Infrastructure Development	8(d)	21,536,718	6,768,246
Rehabilitation Works	8(e)	-	-
Asset Acquisition	8(f)	6,953,790	2,700,000
Administrative Costs	8(g)	2,726,476	2,258,156
Other costs	8(h)	734,339	-
Social Benefits	8(i)	2,268,339	2,241,857
Secondary Schools and			
Skills Development Bursaries	8(j)	5,470,433	7,913,677
Loans	8(k)	2,642,463	5,428,693
TOTAL PAYMENTS		42,332,557	27,310,629
Increase/(Decrease) in Cash		- 19,490,962	844,105
Cash at beginning of the year		21,455,145	20,882,057
Cash at the end of the year		1,964,182	21,455,145

Note 8 explains the composition and other details relating to the various elements included in this Statement.

Disclosure Note

The approved financial statements for the year end 2023 had cash at the end of the year over stated by K271,017. Therefore, the cash at the end of the year (2023) has been adjusted from K21,726,162 to K21,455,065.

MPONGWE TOWN COUNCIL
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST
DECEMBER 2024

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Local Taxes	2	319,792	625,370
Fees and Charges	3	6,594,238	4,792,041
Licences	4	59,991	39,928
Levies	5	3,735,670	1,704,802
Permits	6	322,821	379,729
Local Government Equalisation Fund	7	10,321,794	9,654,720
Constituency Development Fund	8	22,775,159	27,261,470
Other Grants	9	3,294,737	1,100,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Sector Grant	12	13,522,357	710,968
Other Receipts	13	764,251	-
TOTAL RECEIPTS		61,710,808	46,269,028
PAYMENTS			
Personal Emoluments	14	13,218,930	9,464,801
Use of Goods and Services	15	10,592,329	4,844,469
Financial Charges	16	-	-
Social Benefits	17	9,293,746	10,155,534
Non-financial Assets Acquisition	18	30,359,117	12,026,101
Financial Assets	19	2,642,463	5,428,693
Loan Repayments	20	-	-
Other Payments	21	4,301,769	2,864,018
TOTAL PAYMENTS		70,408,354	44,783,616
Increase/(Decrease) in Cash		(8,697,545)	1,485,412
Foreign Exchange Losses	22	-	-
Cash at beginning of the year	23	24,185,701	22,700,289
Cash at the end of the year	24	15,488,156	24,185,701

Name: MASANSA EMANUEL
Signature: [Signature]
Position: Council Chairperson

Name: MARY M. LANKEN
Signature: [Signature]
Position: Council Secretary

Name: EDWIN D. HINSONSO
Signature: [Signature]
Position: Director Finance



**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE SECTOR GRANT
(DEVOLVED FUNCTIONS) FOR THE YEAR ENDED 31ST DECEMBER 2024**

		2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	12(a)	13,318,653	-
Other Receipts	12(b)	203,704	-
TOTAL RECEIPTS		13,522,357	-
PAYMENTS			
Goods and Services		1,461,753	-
Non-financial Asset Acquisition		954,218	-
Social Benefits		1,554,974	-
Administrative costs		920,274	-
Infrastructure Development		-	-
Rehabilitation Works		-	-
TOTAL PAYMENTS		4,891,219	-
Increase/(decrease) in cash		8,631,138	-
Cash at beginning of the year		-	-
Cash at the end of the year		8,631,138	-

Name:

Name:

Signature:

Signature:

Position: Council Chairperson

Position: Council Secretary

Name:

Signature:

Position: Director of Finance

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Mpongwe Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs)

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act No. 13 of 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022 with a transition period of three (3) years. The Council is preparing to adopt Accrual Basis IPSASs on 1st January 2027.

-
- (c) Treasury and Financial Management Circular No.10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
 - ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called ‘Encouraged Additional Disclosures’ in Cash Basis financial statements for the years ending 31st December 2022 up to 31st December 2025.
 - iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
 - iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January 2022 and should end on 31st December 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act No. 2 of 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Mpongwe Town Council (MTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalization Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on
by the ordinary/special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Mpongwe Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27 (1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis

when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term

high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners and funding for devolved functions. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is *Zambian Kwacha*.

1.12 Foreign Currencies

Transactions in other currencies are converted into *Zambian Kwacha* using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end is translated into *Kwacha* at the ruling rate then. The

resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the

Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its

agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and

- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor/Chairperson, elected councillors, co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Mpongwe Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Mpongwe Town Council. These do not constitute cash receipts and payments by, the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2024	2023
	Kwacha	Kwacha
Residential Rates	76,013	21,701
Industrial / Commercial Rates	230,371	505,332
Personal Levy	13,408	98,337
	-	-
TOTAL	319,792	625,370

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2024	2023
	Kwacha	Kwacha
Fees and charges	1,411,698	2,627,687
Land Development Charges	5,182,540	2,164,354
Total	6,594,238	4,792,041

a. Fees and charges

The Council generated the following fees and charges:

Fees and Charges Type	2024	2023
	Kwacha	Kwacha
Hire of Tent	-	1,700
Survey Fees	-	2,000
Building Inspection fees	15,465	10,720
Plan Scrutiny Fees	24,900	50
Rentals/Lease of Council's properties	20,100	5,500
Application Form Fees	20,070	627,225
Sketch Fees	-	30
Hire of halls	3,000	1,500
Market Fees	10,479	7,593
Parking Fees	227,630	323,431
Toilet Fees	32,955	-
Registration of clubs	9,500	6,000
Bidding Documents	23,700	-
Refuse Disposal Fees	48,678	80,121
Notice of Marriage	2,700	5,400
Farm Produce Levy	12,822	1,281,753
Communication Mast Levy	-	120,000
Search fee	150	-
Billboard and Banner	35,171	55,200
Lease of Council Transport	1,500	900
Rentals from houses	11,600	14,250
Penalties	3,529	23,800
Water charges	38,029	-
Change of ownership of plot	15,000	16,500
Pontoon crossing fees	849,017	-
Brand Mark fees	234	-
Other Fees and Charges/other income	5,470	44,014
TOTAL	1,411,698	2,627,687

b. Land Development Charges

The Council collected the following land development related charges:

	2024	2023
	Kwacha	Kwacha
Service charges - Commerical plots/Residential	5,177,606	1,843,000
Extract of minutes	-	1,540
Other/Admin charges	4,934	319,814
TOTAL	5,182,540	2,164,354

4. Licenses

A total of K59,991 cash receipts was raised from issuance of various licenses.

	2024	2023
	Kwacha	Kwacha
Liquor licence	3,831	418
Firearm and ammunition licence	18,160	14,980
Petroleum licence	38,000	22,000
Dog licence	-	2,530
TOTAL	59,991	39,928

5. Levies

The Council generated cash receipts by charging levies as follows:

	2024	2023
	Kwacha	Kwacha
Livestock Levy	124,570	132,891
Bird Levy	417,383	557,718
Fish Levy	26,178	67,682
Charcoal Levy	65,544	72,199
Business levy	363,116	351,284
Grain levy	2,089,299	-
Mast levy	90,000	-
Miscellaneous levies	559,580	523,028
TOTAL	3,735,670	1,704,802

NOTE. Miscellaneous levies include -Stock levy, Timber levy, Bulk storage, Scrap levy, and Boat levy

6. Permits

The Council generated cash receipts from issuing various permits as follows:

	2024	2023
	Kwacha	Kwacha
Health Permit	157,166	132,099
Burial Permits and Grave sites	6,180	6,429
Fire Certificates	125,770	174,962
Extension of business hours permits	8,150	9,980
Burial permit	-	33,282
Transportation of opaque beer	20,335	22,542
Public permits	-	320
Other permits	5,220	115
TOTAL	322,821	379,729

7. Local Government Equalization Fund

a. Funding

	2024	2023
	Kwacha	Kwacha
1st Funding	860,999	807,363
2nd Funding	859,013	807,710
3rd Funding	865,306	786,860
4th Funding	849,507	796,566
5th Funding	862,022	800,580
6th Funding	852,407	807,580
7th Funding	862,804	807,580
8th Funding	862,361	805,580
9th Funding	859,683	809,929
10th Funding	862,612	809,929
11th Funding	862,540	810,913
12th Funding	862,540	804,130
TOTAL	10,321,794	9,654,720

b. Operational Expenditure

The Council applied amounts totalling K10,321,794 of LGEF receipts towards meeting operational expenses (salaries and wages) representing 100% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council did not apply any LGEF receipts towards meeting capital expenditure for the reporting period.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

a) CDF Funding

	2024	2023
Constituency	Kwacha	Kwacha
Mpongwe	22,775,159	27,261,470
Total	22,775,159	27,261,470

b) Loan Repayments

	2024	2023
Constituency	Kwacha	Kwacha
Loan Repayment	-	271,018
Total	-	271,018

c) Other CDF Sources of Funding

Other CDF sources of funding consisted interest earned on the amounts held in CDF bank accounts and Re-banks

	2024	2023
Constituency	Kwacha	Kwacha
Bank interest	66,436	454,906
Re-Banks	-	167,340
Total	66,436	622,246

d) Infrastructure Development

	2024	2023
Constituency	Kwacha	Kwacha
Mpongwe	21,536,718	6,768,246
Total	21,536,718	6,768,246

e) Rehabilitation Works

There were no rehabilitation works carried out in the period under review.

f) Asset Acquisition

	2024	2024
Constituency	Kwacha	Kwacha
Mpongwe	6,953,790	2,700,000
Total Asset Acquisition Payments	6,953,790	2,700,000

The assets acquired for Mpongwe Central include medical equipment for Mpongwe Mission Hospital at a cost of K880,030.

g) Administrative Costs

	2024	2023
	Kwacha	Kwacha
Constituency		
Mpongwe Central	2,726,476	2,258,906
	-	
Total	2,726,476	2,258,906

h) Other costs

	2024	2023
	Kwacha	Kwacha
Constituency		
Mpongwe Central	734,339	-
Total	734,339	-

i) Social Benefits (CDF)

	2024	2023
	Kwacha	Kwacha
Constituency		
Mpongwe Central	2,268,339	2,241,857
Total	2,268,339	2,241,857

j) Secondary School and Skills Development Bursaries

	2024	2023
	Kwacha	Kwacha
Constituency		
Mpongwe Central	5,470,433	7,913,677
Total	5,470,433	7,913,677

k) Loans

	2024	2023
	Kwacha	Kwacha
Constituency		
Soft Loans	2,642,463	5,428,693
Total	2,642,463	5,428,693

9. Other grants

During the year, the Council received the following other grants:

Revenue Source	2024	2023
	Kwacha	Kwacha
Grants in Lieu of Rates	600,000	100,000
Zambia Devolution Support Grant	2,694,737	-
Other Grant	-	1,000,000
TOTAL	3,294,737	1,100,000

10. Borrowings

During the year the Council did not borrow any funds from any financial institution.

11. Council Commercial Venture

Council does not have any commercial ventures.

12. Sector Grant

	2024 Kwacha	2023 Kwacha
(a) Grants		
Roads Grant	1,715,472	-
Transport and Logistics	281,665	-
Health Services	1,452,865	-
Vetrinary Services	103,253	-
Community Sports	129,310	-
Cash for Work	9,512,171	-
Archives	14,431	-
Cultural Services	109,485	-
	13,318,652	-
	2024 Kwacha	2023 Kwacha
(b) Other Receipts		
Fees and Charges Deposited into Sector Grant ac	149,916	-
Interest Received	53,789	-
	203,705	-

13. Other Receipts

	2024 Kwacha	2023 Kwacha
Interest-CDF	66,436	454,906
CDF Rebanks	-	167,340
Community Contributions-Boreholes	58,500	28,670
Disposal of Assets	583,215	-
Rural Water Grants	56,100	60,052
Total	764,251	710,968

14. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2024	2023
	Kwacha	Kwacha
Salaries Division 1	2,666,389	2,401,774
Salaries Division 2	3,398,985	1,942,555
Salaries Division 3	3,073,394	1,799,198
Wages- Division 4	3,595,085	3,321,273
Others (Contractuals)	485,077	
TOTAL	13,218,930	9,464,801

15. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities and other operational expenses.

Expenditure Type	2024	2023
	Kwacha	Kwacha
Office Running Costs	425,756	307,206
Building, Repair and Maintenance Costs	408,661	129,731
Plant, Machinery and Vehicle Running and Maintenance Cost	2,099,248	661,839
Other Administrative operating costs	2,927,744	805,035
Requisites	334,180	267,402
Services	682,648	1,104,847
Travel expenses	2,728,956	1,449,961
Training	154,409	11,170
Legal Expenses	773,573	76,777
Other expenses	57,155	30,500
TOTAL	10,592,329	4,844,469

16. Financial Charges

The Council did not pay any financial charges during the year.

17. Social Benefits

Council paid social benefits amounting to K9,293,746

Name	2024 Kwacha	2023 Kwacha
Youth Empowerment	2,268,339	441,300
Youth & Women Empowerment	2,268,339	1,800,557
Skills Bursaries	4,681,933	7,253,477
Secondary School Bursaries	788,500	660,200
Cash for Work	1,554,974	-
TOTAL	9,293,746	10,155,534

18. Non-financial Asset Acquisition

The Council acquired non-financial Assets amounting to K30,359,117
During the year under review.

	2024 Kwacha	2023 Kwacha
Tangible Assets		
Infrastructure	21,536,718	662,920
Rehabilitation	-	104,865
Motor Vehicles	728,650	1,356,000
Fridge	-	-
Machinery	6,073,760	2,700,000
Office Equipment	17,265	1,300
Office Furniture	29,018	5,790
Street Lights	46,743	420,690
CDF Projects	1,918,398	6,768,246
Other Payments	-	2,940
Sub Total	30,350,552	12,022,751
Intangible Assets		
Computer Software	8,565	3,350
Grand Total	30,359,117	12,026,101

19. Financial Assets

The Council had K2, 642,463 financial Assets acquired during the financial year.

20. Loan Repayments

Council did not pay any loan repayment to the bank.

21. Other Payments

A total amount of K4,301,769 was spent on other payments which relate to sundry items such as terminal benefits, leave travel benefits and settling-in-allowances for officer's, statutory obligations arrears and other CDF costs.

Expenditure Type	2024 Kwacha	2023 Kwacha
Terminal benefits	523,295	100,334
Settling in allowances	133,618	80,445
Gratuity	-	10,928
Leave travel benefits	-	28,712
Commutation of Leave Days	-	
Salary Arrears	-	
Statutory obligation	184,041	364,942
CDF Admin	2,726,476	2,258,156
Other CDF costs	734,339	-
Rural water activities	-	-
long Service bonus	-	20,500
TOTAL	4,301,769	2,864,018

22. Foreign Exchange Losses

Council did not suffer any exchange losses during the year.

23. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2024 Kwacha	2023 Kwacha
Cash on hand	23,047	63,307
Demand Deposits	15,465,109	24,122,394
Cash equivalents	-	-
TOTAL	15,488,156	24,185,701

a. Cash on Hand

The Council's cash on demand was made of cash collections and petty cash:

	Kwacha	Kwacha
Cash collections undeposited	23,047	63,307
Demand deposit	-	-
TOTAL	23,047	63,307

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2024:

Account No	2024 Kwacha	2023 Kwacha
Main a/c Zanaco -0120374300164	800,068	1,923,413
General Purpose A/C Zanaco-5157995300177	21,794	84,940
Capital Fund A/C Zanaco-5669806300140	2,694,956	7,073
CDF A/C Zanaco-0414259300133	1,964,182	21,455,145
Land Development A/C Zanaco-0120374300265	785,160	477,206
Rural Water A/C Zanaco-0630230000636	16,739	174,618
Sector Grant A/C Zanaco-5987749300127	8,631,138	-
Pontoon A/C Natsave-3168881133503	551,073	-
	15,465,109	24,122,395

c. Cash Equivalents

The Council did not hold any treasury bills during the year.

24. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on and no supplementary budget was made during the year.

There was no budget adjustment done during the financial year ended 31st December, 2024.

b. Budget Variances

The following are the budget variance explanations for both revenue and expenditure.

- **Non-Financial Assets**

Council planned to spend K16,589,200 on Non-Financial Assets but spend K30,359,117 at 183% resulting in a variance of (83%). This was because most of the CDF projects which were not completed were executed in the period under review.

- **Other Payments**

The Council Planned to spend K9,893,379 on other payments but spent K4,301,769 at 43% resulting into a variance of 57%. This was due to failure to liquidate most staff creditors as it faced inadequacy funding.

- **Use of Goods and Services**

Council planned to spend K22,692,375 on use of Goods and Services but spend K10,595,329 at 47% resulting in a variance of 53%. This was due to Council liquidity challenges it faced to spend on the items planned to procure during the year 2024.

- **Social Benefits**

The Council planned to spend K8,149,081 on social benefits but spent K9,293,746 at 114% resulting into a variance of (14%). This is due to cash for work programme introduced by the government in August, 2024.

- **Local Taxes**

The Council planned to collect K843,668 from local taxes during the year but only collected K319,792 at 38% performance resulting in a variance of (62%) due to low compliance of the tax payers.

- **Fees and Charges**

The Council budgeted to collect K1,885,278 from fees and charges during the year but collected K6,594,238 at 350% performance resulting into a variance of 250%. This was due to the overwhelming responses to payments of plot premiums receipts.

- **Levies**

The Council budgeted to collect K3,192,814 but collected K3,735,670 at 117% performance resulting into a variance of 17% due to high compliance of tax payers.

25. Provision of Services

The Town Council incurred expenditure on offering of services it is mandated to provide to the residents of the district.

Type of Services	2024 Kwacha	2023 Kwacha
Solid Waste Management	2,630	12,336
Veterinary Services	27,862	-
Make Zambia Clean and Health Campaign	75,946	-
HIV/AIDS Prevention	14,000	9,270
Medical drugs supplies	18,481	-
Land Demarcation and Surveys	604,080	-
Water & Sanitation Facility Supply	9,976	43,057
Provision of street lights	46,743	420,690
Road maintenace	16,200	-
Boreholes, pumps and other Water Reticulation	63,891	143,932
SUB TOTAL	879,810	629,285

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

26. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K51,422,687

	Land K	Land & Buildings K	Plant & Machinery K	Motor vehicles K	Office Equip. K	Computer Software K	TOTAL K
Opening balance	30,000	14,111,643	3,958,747	2,928,460	-	34,720	21,063,570
Additions	-	23,455,116	6,120,503	728,650	46,283	8,565	30,359,117
Revaluation	-	-	-	-	-	-	-
Re-classification	-	-	-	-	-	-	-
Disposal	-	-	-	-	-	-	-
Closing balance	30,000	37,566,759	10,079,250	3,657,110	46,283	43,285	51,422,687

27. Investments in Other Entities

The Council did not hold any shares in any entity.

28. Administered Transactions

The Council did not collect any tax on behalf of ZRA.

29. Related Party Disclosures

The following disclosures are made in the financial statements of Mpongwe Town Council:

a. Fringe benefits Disclosures

The Mayor was provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councilor's

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Mpongwe Town Council are:

Aggregate Remuneration	K108,000
Number of persons	18

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K13,218,930
Number of persons	156

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

30. External Assistance

No external assistance was received.

31. Third Party Payments

Mpongwe Town Council did not make any third part payment.

APPENDICES

APPENDIX 1

CREDITORS POSITION AS AT 31 DECEMBER, 2024

CREDITORS POSITION AS 31 DECEMBER 2024					
		OPENING BALANCE 1			CLOSING BALANCE AS
		JANUARY 2023	ADDITIONS	PAYMENTS	31 DECEMBER 2024
S/N	DETAILS	KWACHA	KWACHA	KWACHA	KWACHA
1	ZRA	3,329,292	1,202,725	204,050	4,327,968
2	LASF	4,101	113,821	121,067	(3,145)
3	NAPSA	5,574,564	1,231,577	603,503	6,202,637
4	Madison	53,298	29,110	54,479	27,928
5	Student Loans		-	-	-
6	NHIMA	75,975	77,510	129,561	23,924
7	Union Dues	37,767	28,102	23,467	42,402
8	Terminal Benefits	807,983		522,768	285,215
	TOTAL AMOUNT	9,882,980	2,682,846	-	10,906,929

APPENDIX 2

SUMMARY OF DEBTOR'S POSITION AS AT 31ST DECEMBER 2024

Details	Opening Balance (K)	Adjustment	Charges 2024	Receipts 2024	Balance as at 31.12.2024
Owners rates	779,650	0	1,944,702	319,792.00	2,404,560
Housing Self Payer	0	0	0	0	0
Standing Charges	0	0	-	0	0
Ground Rent	0		0	0	0
Site Rent	0		0	0	0
Salary Advance	0		0	0	0
TOTAL	779,650	0	1,944,702	319,792	2,404,560

APPENDIX 3

1. LIST OF ASSETS PROCURED IN THE YEAR ENDING 31st DECEMBER 2024

S/N	COST CENTER	AMOUNT
1	Computer Peripherals & Equipment	17,265
2	Office Furniture	29,018
3	Street lights	46,743
4	Motor Vehicles	728,650
5	CDF Projects	1,918,398
6	CDF-Infrastructure Development	21,536,718
7	Machinery	6,073,760
	TOTAL	30,359,117